THE SESSION · POST-CLOSE READ

Rotation, *Not Retreat*

Chip weakness carried the Nasdaq lower while the Dow closed green and crude sold the news on the Iran package. The Dividend Strategy held its footing; the Growth Portfolio absorbed the de-risking ahead of Wednesday's Nvidia print.

S&P 500 ▼ 0.28% NASDAQ ▼ 0.77% DOW ▲ 0.26% VIX 15.85 BRENT ▼ $90

DIVIDEND STRATEGY

▼ TRAILED DVY · BEAT SPY

+0.23% 1-DAY

FCI	+0.23%
DVY	+0.34%
SPY	−0.29%

YTD **+22.56%** vs DVY +18.47% · SPY +12.54%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−1.14% 1-DAY

FCI	−1.14%
IUSG	−0.71%

YTD **+21.74%** vs IUSG +12.50%

THE SESSION

Monday resolved the weekend's two open questions in opposite directions, and the tape sorted itself accordingly. The Iran sanctions package that framed the morning setup as the session's operative crude catalyst arrived on schedule — and crude sold it. Brent settled at $90.36, down 4.27%, ending a two-week advance as traders took the profit rather than price additional supply friction into the curve. Equities split along the line that has organized most of this month: the S&P 500 eased 0.28% to 7,652.86 and the Nasdaq Composite gave up 0.76%, while the Dow Jones Industrial Average added 140 points, or 0.26%. Breadth was mildly negative on both exchanges. What moved was not the market so much as its leadership.

The weight came from semiconductors. The Philadelphia Semiconductor index fell 2.64% to its lowest level in three weeks as investors trimmed AI-infrastructure exposure two days ahead of Nvidia's quarterly report, the single largest scheduled catalyst of the week. The FCI Growth Portfolio carries that exposure directly — NVDA closed at $208.46 (−2.92%), AMD at $456.75 (−3.49%), TSM at $410.13 (−2.11%), MRVL at $229.24 (−3.29%) and CRDO at $222.61 (−3.45%) — and the Dividend Strategy carries it at one remove through LRCX (−1.22%) and QCOM (−1.38%). Trade policy supplied the second headwind: the administration said Monday that duties on Canadian cars, trucks, automotive parts and steel will rise to 50% on January 1, 2027, layered atop the levies that took effect Saturday. Caterpillar, which sits at the intersection of tariff cost and data-center capital spending, was the widest decliner in the Dividend Strategy at −2.04%.

> *A portfolio that earns its keep on the days index leadership steps back is doing precisely what it was built to do.*

The other side of the ledger is where the Dividend Strategy did its work. Consumer staples led the defensive bid — CHD +3.78%, CL +1.59% — with GPC +1.25%, ORI +0.96% and SPGI +0.87% behind them, enough to carry the sleeve to +0.23% on a day the broad index finished lower. Gold traded near $4,662 an ounce against a softer dollar and easier Treasury yields, lifting AEM +0.82%, while FCX gained 1.50% and EIX rebounded 3.34% from Friday's decline as rate-sensitive utilities found a bid. The digital-asset sleeve participated as well, with IBIT +2.20% and ETHA +2.30%. The Growth Portfolio finished at −1.14% against IUSG at −0.71% — a session where the sleeve's concentration in the semiconductor and high-beta fintech complex cost roughly forty basis points of relative return. Consumer confidence lands Tuesday, July PCE and Nvidia Wednesday, and Chair Warsh speaks at Jackson Hole Friday. The week's verdict is not yet written.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

CHD +3.78% DIVIDEND
Staples led the defensive rotation. Shares extended the recovery that followed a June quarter of 5.8% organic sales growth and a raised full-year outlook.

EIX +3.34% GROWTH
Rebounded from Friday's decline as Treasury yields eased, restoring a bid to rate-sensitive regulated utilities.

CL +1.59% DIVIDEND
Consumer staples caught the rotation out of high-beta technology; a softer dollar is a tailwind to translated international revenue.

FCX +1.50% GROWTH
A weaker dollar supported the copper complex even as exchange inventories continued to build against the near-term tightness narrative.

DECLINERS

HOOD −4.17% GROWTH
Gave back part of Friday's advance. Direct crypto transaction revenue makes the brokerage the highest-beta expression of the digital-asset trade in both directions.

YMM −3.99% GROWTH
China-linked names traded softer alongside a weak Hong Kong technology session.

AMD −3.49% GROWTH
Sold with the broader chip complex as the SOX index fell to a three-week low two days ahead of Nvidia's report.

CAT −2.04% DIVIDEND
Weighed by the escalation of Canadian auto, parts and steel duties to 50% from January 2027 and by the same data-center capital-spending caution pressuring the AI complex.

HOLDINGS NEWS

Nvidia reports Wednesday after the close. The print is the Growth Portfolio's largest scheduled catalyst of the week, with read-through across AMD, TSM, MRVL, NXPI, CRDO and KEYS, and into LRCX on the Dividend side. Bloomberg reported over the weekend that Nvidia has notified customers that servers built on its Vera Rubin and Blackwell chips will carry price increases of more than 15%, effective on units shipping in early 2027. Shares closed at $208.46, down 2.92%, with the balance of the complex moving in sympathy. We hold the position for the franchise, not the quarter; the guidance matters more to us than the beat.

Caterpillar absorbs both policy vectors at once. Monday's announcement that Canadian auto, parts and steel duties will double to 50% on January 1, 2027 lands on a company already carrying an estimated $2.2–$2.4 billion of full-year 2026 tariff cost, partially offset by $392 million of recoveries recognized in the June quarter. The same session's AI-capex caution weighs on the Power & Energy segment that has driven the recent earnings strength. Shares closed at $811.03, down 2.04%, and remain well ahead of the industrial group year-to-date.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.56%

vs DVY +18.47% / SPY +12.54%

GROWTH PORTFOLIO

+21.74%

vs IUSG +12.50%